Paying for Long-Term Care, in Plain English

The kinds of care and the kinds of resources that may help pay for it.

You know long-term care costs money. You're less sure who usually pays for it, or where Dad's own savings, insurance and benefits would come into it. Dad is managing on his own, so there is time to get the general picture straight.

This guide explains the kinds of care and the kinds of resources in general terms, so the family's questions land in the right place. It explains. It doesn't estimate, and it doesn't advise.

The kinds of care, and why there is no single price

“Long-term care” covers several different things. The roadmap's course names four: home care, assisted living, memory care and skilled nursing.

Much of it is everyday help and not skilled care. The federal Administration for Community Living describes non-skilled help with activities of daily living as the majority of long-term care services. [1]

On cost, the same agency says this: the cost of long-term care depends on the type and duration of care you need, the provider you use, and where you live. Home care is generally more expensive in the evening, on weekends and on holidays. A facility may charge extra for services beyond the basic room, food and housekeeping, although some have all-inclusive fees. [2]

- That is why this guide gives no figures. What care might cost where Dad lives is a projection for your Medicaid planner to make with the family.
- What a family can write down now is simpler: what Dad says he would want if he ever needed help, in his own words.

Who usually pays

It is easy to assume Medicare will cover it. The Administration for Community Living says consumer surveys reveal common misunderstandings about which public programs pay. Medicare, it says, pays for long-term care only if you require skilled services or rehabilitative care, and does not pay for non-skilled help with activities of daily living. Most employer-sponsored or private health insurance covers only the same kinds of limited services as Medicare. [1]

That leaves a person's own resources, private insurance and public programs. Medicare.gov says most people who enter nursing homes start by paying for their care out of pocket. [1] [3]

Medicaid pays for the largest share of long-term care services, the Administration for Community Living says, but a person has to qualify under the state's eligibility requirements. Medicare.gov describes Medicaid as a joint federal and state program, and says Medicaid programs vary from state to state. [1] [3]

Other federal programs, such as the Department of Veterans Affairs, pay for long-term care services only for specific populations and in certain circumstances. The VA pays for long-term care services for service-related disabilities and for certain other eligible veterans. [1] [4]

The policies Dad may already have

A long-term care insurance policy is, in the federal glossary's words, an insurance policy designed to offer financial support to pay for long-term care services. Medicare.gov's advice to someone who has one is to check the policy, or call the insurance company, to find out whether the care they need is covered. [5] [3]

Life insurance can come into it too. Medicare.gov says some insurance companies will let you use a life insurance policy to pay for long-term care, and to contact the insurance provider about the options. The Administration for Community Living adds two cautions about one such option: payments received while a person is alive are subtracted from what is paid to beneficiaries later, and using it may affect eligibility for Medicaid, so check with the state Medicaid agency. [3] [6]

An annuity is a contract in which a person gives an insurance company money that is later distributed back over time. The National Council on Aging notes that the terms vary by product, and that anyone considering buying one should talk to a professional first. [5] [7]

Like public programs, the Administration for Community Living says, private sources of payment have their own rules, eligibility requirements, copayments and premiums for the services they cover. [1]

- For each policy, annuity or benefit, the useful note is what it is, which company, what paperwork you have, and when anyone last read it.
- What a policy would do when care is needed is a question for the company or a licensed insurance professional. This guide can't tell you, and neither can the first page of the policy.

Where Medicaid's rules come in, and why this guide stops there

You may have heard that everything has to be spent before Medicaid can help. The public sources describe something less simple. The Administration for Community Living says that when a state determines financial eligibility for Medicaid, some assets are counted while others are excluded, and that the assessment of assets can be fairly complex, depending on how much and what kind of assets a person has. [8]

For a married couple there are federal provisions about the spouse who stays at home. Under them, Medicaid.gov says, a certain amount of the couple's combined resources is protected for the spouse living in the community. [9]

Gifts and transfers have their own rule. Medicaid.gov says it concerns people who need long-term services and supports and have transferred, sold or gifted assets for less than they are worth. The Consumer Financial Protection Bureau's guide for agents under a power of attorney puts the practical point this way: Medicaid is complicated, so get legal advice and be very careful about decisions that may affect eligibility. [10] [11]

What is counted, how much, and how a gift or a change of ownership would be treated all depend on the state and the situation. Those answers come from your Medicaid planner or an elder law attorney who knows Dad's state. A general guide can't give them.

What this means for your family

- “How would we pay?” becomes a list: what Dad has, which policies and benefits nobody has checked, what you've heard, and what you'd ask.
- Your job is to list and to date. It isn't to estimate or to conclude.
- Things you've heard about spending, giving or buying are questions until a professional who knows Dad's state has answered them.
- The questions sort by who can answer: your Medicaid planner for how the pieces fit together, an elder law attorney for the legal ones, a licensed insurance or financial professional for the policies and products.
- Nothing here needs deciding now.

What this guide doesn't do

It doesn't say what care would cost for Dad, how long his resources might last, how Medicaid would treat anything he owns, or whether any strategy or product belongs in his plan. It isn't legal, financial or tax advice. The definitions and general statements come from the sources below. The advice about what to write down is ours.

Ready for the next step?

You have the general picture: the kinds of care, and the kinds of resources families draw on. The planning interview turns from the general picture to yours: it asks about your family's situation and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

1. Administration for Community Living (LongTermCare.gov), Who Pays for Long-Term Care?
2. Administration for Community Living (LongTermCare.gov), Costs of Care
3. Medicare.gov (Centers for Medicare & Medicaid Services), How can I pay for nursing home care?
4. Administration for Community Living (LongTermCare.gov), Veterans Affairs Benefits
5. Administration for Community Living (LongTermCare.gov), Glossary
6. Administration for Community Living (LongTermCare.gov), Using Life Insurance to Pay for Long-term Care
7. National Council on Aging, What Is an Annuity? Types, Costs, Benefits, and Risks
8. Administration for Community Living (LongTermCare.gov), Medicaid Eligibility
9. Centers for Medicare & Medicaid Services (Medicaid.gov), Spousal Impoverishment
10. Centers for Medicare & Medicaid Services (Medicaid.gov), Eligibility Policy
11. Consumer Financial Protection Bureau, Managing Someone Else's Money: Help for agents under a power of attorney